

EXECUTABLE TRADING RULES

CALL and PUT — Entry, Management and Exit

CALL ENTRIES

MARKET PRE-CONDITIONS — must be true before any call entry

EMA STACK	EMA 9 is above EMA 21. EMA 50 is below both and trending up. Full stack adds conviction — not mandatory.
VWAP SIDE	Price is predominantly above VWAP across multiple candles.

TYPE 1 — PULLBACK ENTRY

CONDITIONS	• EMA 9 above EMA 21. • EMA 50 below both and sloping up. • Controlled pullback in place: price has not closed below VWAP. Candles are visibly smaller than the prior trend candles. No aggressive bearish momentum. A wick or touch to VWAP with a close above it is valid — often the ideal location.
ENTRY TRIGGER	• Price breaks the swing high that ended the prior trend leg and started the current pullback. • The same candle closes above that swing high. • That swing high must be a meaningful level — not a trivial candle high formed inside the pullback itself.
CONFIRM (≥ 1)	• Candle closes above its own midpoint (upper half of the candle range). • Volume expands on the breakout candle relative to the pullback candles.
AVOID	• Breakout candle closes back below the trigger level. • Trigger level is a minor high within the pullback — not the swing high that started it. • No clear swing high exists — Type 1 is not present, do not force.
STOP	Below the pullback low (last significant low before the breakout candle). Confirmed on closing basis.

TYPE 2 — MOMENTUM ENTRY

CONDITIONS	• Strong uptrend in place. • A visible consolidation has formed — candles compressing relative to prior trend candles, neither side committing. No candle count required.
ENTRY TRIGGER	• Price breaks the consolidation high. • The same candle closes above it. • Closing price clears the consolidation range by a meaningful margin relative to consolidation candle body sizes — a marginal tick is not confirmation.
CONFIRM (≥ 1)	• Break candle is visibly larger than the consolidation candles — range expansion confirms momentum resumption.
AVOID	• Breakout candle closes inside the consolidation range. • Break is only a marginal tick above the range high. • Consolidation candles are not visibly compressing — it is chop, not consolidation.
STOP	Below the low of the entire consolidation range. Confirmed on closing basis.

TYPE 3 — EARLY ENTRY

CONDITIONS	• EMA 9 crosses above EMA 21 on a closing basis. • Price is reclaiming or has reclaimed VWAP. EMA cross without VWAP context is not sufficient. • A small pullback is preferred but not mandatory — if the EMA cross and VWAP reclaim occur on a strong close, that close is valid entry.
ENTRY TRIGGER	• If pullback present: price breaks the pullback high and the candle closes above it. • If no pullback: the entry candle is the strong close that reclaims VWAP with the EMA cross confirmed on the same close.
CONFIRM (≥ 1)	• Candle closes above its own midpoint. • Volume expands relative to prior candles.
AVOID	• EMA cross confirmed but price has not reclaimed VWAP. • Entry candle closes in lower half of its range. • Price gaps above the EMA cross level — wait for first candle close.
STOP	Below the pullback low preceding the entry. If no pullback low exists: below VWAP at time of entry. Confirmed on closing basis.

 Type 3 is the highest-risk entry. Stop is closest to price. Size position accordingly — smaller than Type 1 or 2.

GAP OPEN EXCEPTION — CALLS

RULE

If price gaps above a key level at the open: the first post-gap candle close above that level is the confirmation. Do not wait for a second breakout. Gap opens bypass the standard close rule — the gap itself is the entry signal, the first close above confirms.

PUT ENTRIES

MARKET PRE-CONDITIONS — must be true before any put entry

EMA STACK

EMA 9 is below EMA 21. EMA 50 is above both and trending down. Full stack adds conviction — not mandatory.

VWAP SIDE

Price is predominantly below VWAP across multiple candles.

TYPE 1 — PULLBACK ENTRY

CONDITIONS

- EMA 9 below EMA 21.
- EMA 50 above both and sloping down.
- Controlled pullback in place: price has not closed above VWAP. Candles are visibly smaller than the prior trend candles. No aggressive bullish momentum. A wick or touch to VWAP with a close below it is valid — often the ideal location.

ENTRY TRIGGER

- Price breaks the swing low that ended the prior trend leg and started the current pullback.
- The same candle closes below that swing low.
- That swing low must be a meaningful level — not a trivial candle low formed inside the pullback itself.

CONFIRM (≥ 1)

- Candle closes below its own midpoint (lower half of the candle range).
- Volume expands on the breakdown candle relative to the pullback candles.

AVOID

- Breakdown candle closes back above the trigger level.
- Trigger level is a minor low within the pullback — not the swing low that started it.

	No clear swing low exists — Type 1 is not present, do not force.
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STOP	Above the pullback high (last significant high before the breakdown candle). Confirmed on closing basis.
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TYPE 2 — MOMENTUM ENTRY

CONDITIONS	- Strong downtrend in place. - A visible consolidation has formed — candles compressing relative to prior trend candles, neither side committing. No candle count required.
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ENTRY TRIGGER	- Price breaks the consolidation low. - The same candle closes below it. - Closing price clears the consolidation range by a meaningful margin relative to consolidation candle body sizes — a marginal tick is not confirmation.
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CONFIRM (≥ 1)	Break candle is visibly larger than the consolidation candles — range expansion confirms momentum resumption.
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AVOID	- Breakdown candle closes inside the consolidation range. - Break is only a marginal tick below the range low. - Consolidation candles are not visibly compressing — it is chop, not consolidation.
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STOP	Above the high of the entire consolidation range. Confirmed on closing basis.
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TYPE 3 — EARLY ENTRY

CONDITIONS	- EMA 9 crosses below EMA 21 on a closing basis. - Price is reclaiming or has broken below VWAP. EMA cross without VWAP context is not sufficient. - A small pullback is preferred but not mandatory — if the EMA cross and VWAP break occur on a strong bearish close, that close is valid entry.
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ENTRY TRIGGER	- If pullback present: price breaks the pullback low and the candle closes below it. - If no pullback: the entry candle is the strong bearish close that breaks below VWAP with the EMA cross confirmed on the same close.
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CONFIRM (≥ 1)	Candle closes below its own midpoint.
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	• Volume expands relative to prior candles.
AVOID	• EMA cross confirmed but price has not broken below VWAP. • Entry candle closes in upper half of its range. • Price gaps below the EMA cross level — wait for first candle close.
STOP	Above the pullback high preceding the entry. If no pullback high exists: above VWAP at time of entry. Confirmed on closing basis.
 Type 3 is the highest-risk entry. Stop is closest to price. Size position accordingly — smaller than Type 1 or 2.	

GAP OPEN EXCEPTION — PUTS

RULE	If price gaps below a key level at the open: the first post-gap candle close below that level is the confirmation. Do not wait for a second breakdown. Gap opens bypass the standard close rule — the gap itself is the entry signal, the first close below confirms.
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VOLUME RULES — BOTH DIRECTIONS

APPLIES EQUALLY TO CALLS AND PUTS

DURING PAUSE	Volume contraction during a pullback or consolidation is constructive — absence of counter-trend conviction. Do not treat it as weakness.
ON BREAKOUT	Volume ideally expands on the breakout candle relative to the pause candles. The ratio matters — not the absolute level.
HIERARCHY	Close beyond the level is the primary signal. Volume expansion is supporting evidence — it confirms but never vetoes a valid close.
NEVER ACT ON	Volume spike with no price confirmation. Not actionable under any circumstances.

TRADE MANAGEMENT — BOTH DIRECTIONS

APPLIES EQUALLY TO CALLS AND PUTS. ALL REFERENCES BELOW FLIP TO THEIR MIRROR FOR PUTS.

HOLD — IGNORE NOISE

IGNORE

- A single counter-trend candle — unless it is significantly larger than trend candles AND closes at its low (calls) / high (puts). A large engulfing candle that buries multiple prior candles is an early warning — note it, take no action yet.
- A wick through a level with no close beyond it.
- A single EMA 9 break with no close confirmation.

REDUCE — EARLY WARNING

TRIGGER (either)

- Two consecutive closes below EMA 9 (calls) / above EMA 9 (puts) — provided the distance between price and VWAP is less than one average candle range. If price is well above VWAP (calls) this is a normal fast-trend pullback, not deterioration.
- Most recent higher low (calls) / lower high (puts) within the current leg breaks with a close beyond it.

RE-ENTRY after reduce

- Price reclaims EMA 9 and the candle closes in the upper half of its range (calls) / lower half (puts).
- Set a fresh stop from the most recent higher low (calls) / lower high (puts) at the time of re-entry.
- Do not reuse the original stop if price approached it during the reduce. Treat re-entry as a fresh Type 1 entry.

PARTIAL SCALE-OUT — ON STRENGTH

TRIGGER (any one)

- Price reaches a clear prior resistance (calls) / support (puts) level visible on the chart before entry.
- Three or more consecutive full-body candles closing at or near their highs (calls) / lows (puts) with no meaningful wick and no compression — visible exhaustion without pause.
- Price reaches a prior swing extreme or key level from a higher timeframe identified before the trade.

 Scale out means reducing — not exiting. The remainder stays on until full exit rules trigger. Exiting entirely at a target in a strong trend is the most common way to cut a winner short.

FULL EXIT — STRICT CONFIRMATION

1. STRUCTURE BREAK

- Most recent higher low (calls) / lower high (puts) of the current trend leg breaks with a close beyond it.
- Same structural reference used across reduce and full exit — no ambiguity about which level.

2. VWAP FAILURE	- Two consecutive closes below VWAP (calls) / above VWAP (puts). - First 15 minutes of session: VWAP has no anchor — use structure break only. - Final 30 minutes of session: VWAP failure carries reduced weight due to end-of-day flows. The 2-candle rule still governs intraday exit. If holding into the close, assess overnight carry separately.
3. STOP LOSS	- Stop level broken on a closing basis. - Gap open exception: if price gaps through the stop level at open, exit at the open immediately. No close required — the gap is the confirmation.
OVERRIDE RULE	- When multiple signals coincide on the same candle, the most severe condition wins. - EMA 9 break + structure break on same candle = full exit, not reduce. - Never step down to a lower action when a higher one is triggered.

EXECUTION CHECKLIST — IN SEQUENCE

BEFORE ENTRY

1. MARKET TYPE	EMA 9 above 21 (calls) / below 21 (puts). Price on correct side of VWAP across multiple candles.
2. SETUP TYPE	Identify: Type 1 pullback, Type 2 momentum, or Type 3 early entry. No entry without a clear setup type.
3. TRIGGER LEVEL	Identify the exact level — swing high/low that started the pullback, consolidation boundary, or pullback high/low. Must be a meaningful structural level.
4. STOP LEVEL	Set stop before entry. Know the level, know the risk. Do not enter without a defined stop.

AT ENTRY CANDLE

5. CLOSE	Wait for the candle to close beyond the trigger level. No action on a break alone.
6. CONFIRM	At least one: close in upper half of range (calls) / lower half (puts), or volume expansion on breakout candle.

WHILE IN TRADE

7. NOISE	Ignore single candles, wicks, isolated EMA 9 touches. No action without confirmation.
8. REDUCE?	Two EMA 9 closes approaching VWAP, OR most recent higher low (calls) / lower high (puts) broken with close.
9. SCALE OUT?	Prior resistance/support hit, OR 3+ full-body exhaustion candles, OR higher-timeframe level reached.
10. FULL EXIT?	Structure break with close, OR 2-candle VWAP failure, OR stop broken on close (gap open: exit immediately at open).

GOLDEN RULE: Break is not signal. Close is signal. Follow-through is confirmation.
